AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

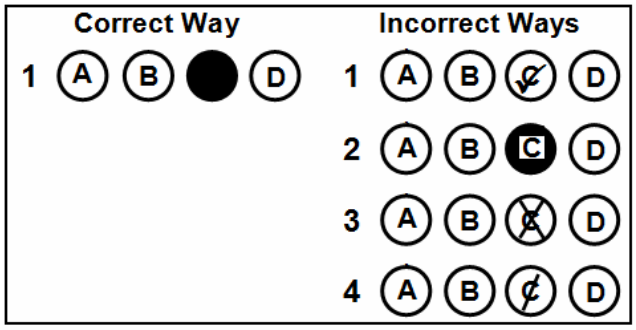
MAY 2015

Principles of Accounting Paper I

Time: 35 minutes Marks: 25

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. Assets are the resources owned by a business. Which of the following groups consists of assets only?

   A. Office machines, fixtures and loan payable
   B. Vehicles, loan payable and expense payable
   C. Fixtures, vehicles and amount owed to suppliers
   D. Fixtures, vehicles and amount owed by customers

2. How is profit calculated?

   A. Revenues plus assets.
   B. Revenues minus assets.
   C. Revenues plus expenses.
   D. Revenues minus expenses.

3. Assets are normally divided into two major categories, current assets and non-current assets.

   Which of the following groups consists of current assets only?

   A. Furniture, vehicles and merchandise inventory
   B. Trade receivables, trade payables and cash in hand
   C. Furniture, merchandise inventory and account receivables
   D. Merchandise inventory, account receivables and cash in hand

4. Which of the following is CORRECT with reference to the laws of Debit and Credit?

   A. A decrease in asset is Debit.
   B. An increase in capital is Debit.
   C. A decrease in liability is Credit.
   D. An increase in expense is Debit.

5. The income statement for the year ended 30th September, 2014 of a business shows an amount of gross loss for the year.

   Which of the following statements best explains the above results?

   A. Operating expenses are lower than the gross profit.
   B. Operating expenses are higher than the gross profit.
   C. Selling price of goods sold is equal to the cost price.
   D. Selling price of goods sold is lower than the cost price.

6. The following information relates to a business for the year ended on 30th June, 2014.

Particulars	Amount Rs
Sales revenue	150,000
Cost of sales	90,000
Operating expenses	30,000

The business had a closing inventory of Rs 15,000 as on 30th June, 2014.

What is the amount of net profit for the year ended 30th June, 2014?

A. Rs 30,000
B. Rs 45,000
C. Rs 60,000
D. Rs 120,000

7. Using the same method of charging depreciation year after year is based on the concept of

A. accruals.
B. consistency.
C. going concern.
D. money measurement.

8. Mr Ahmed withdrew cash for his personal use from his business. How would it be recorded?

	Debit	Credit
A	Cash	Drawing
B	Drawing	Cash
C	Cash	Capital
D	Capital	Cash

9. Which of the following is the CORRECT 'accounting equation'?

A. Sales – Gross Profit = Net Profit
B. Sales + Gross Profit = Net Profit
C. Sales – Cost of Goods Sold = Gross Profit
D. Sales + Gross Profit = Cost of Goods Sold

10. Which of the following groups consists of income statement items only?

A. Sales Revenue, Expenses, Capital
B. Sales Revenue, Cost of Sales, Cash
C. Sales Revenue, Furniture, Expenses
D. Sales Revenue, Cost of Sales, Expenses

11. The following information is extracted from the books of Mr Noman.

    Trade receivable balance on 1st January, 2014 was Rs 5,000.

    During the month of January, the following transactions took place

Cash sales	Rs 10,000
Credit sales	Rs 60,000
Bad debts	Rs 1,000
Discount allowed	Rs 2,000
Cash collection from credit customers	Rs 50,000

    What would be the amount of trade receivables (account receivable) on 31st January, 2014?

    A. Rs 12,000
    B. Rs 14,000
    C. Rs 15,000
    D. Rs 22,000

12. A business disposed of old office furniture on credit. Which book will be used to record the above transaction?

    A. Cash Book
    B. Sales Journal
    C. General Journal
    D. Purchases Returns Journal

13. There are two columns of discounts in the Cash Book; one on the debit side and the other one is on the credit side. Where will be the total amount of the discount column for debit side of the cash book posted?

    A. Debit side of discount allowed account in the General Ledger.
    B. Debit side of discount received account in the General Ledger.
    C. Credit side of discount allowed account in the General Ledger.
    D. Credit side of discount received account in the General Ledger.

14. In a three columns cashbook, the three columns are titled (headed) as

    A. cash, bank, balance.
    B. discount, cash, bank.
    C. date, particulars, cash.
    D. particulars, bank, discount.

15. Which document is sent to a customer upon the sale of merchandise on credit basis?

    A. Invoice
    B. Debit note
    C. Credit note
    D. Statement of account

16. The use of a Purchase Journal is to record the purchase of

    A. merchandise for cash.
    B. merchandise on credit.
    C. furniture on credit for business use.
    D. merchandise on credit for owner's use.

17. Mr Sohail bought some merchandise on credit. He returned them back to the supplier, because they were defective.

    In which book of prime entry will it be recorded?

    A. Sales Day Book.
    B. Purchase Day Book.
    C. Sales Return Journal.
    D. Purchase Return Journal.

18. A supplier issued an invoice to its customer for interest charged on an overdue account. The debit note will be recorded in which book?

    A. Cash Book.
    B. General Journal.
    C. Sales Returns Journal.
    D. Purchases Returns Journal.

19. The following balances are extracted from Mr Aslam's books.

Account receivable	Rs 50,000
Bad debts (including in the amount of account receivable)	Rs 5,000

    The estimated allowance for bad debts is 10% of account receivable. What will be the net account receivable to be shown in the statement of financial position at the end of the period?

    A. Rs 40,500
    B. Rs 45,000
    C. Rs 46,000
    D. Rs 50,000

20. Mr Abbas purchased machinery for Rs 25,000 with salvage value of Rs 5,000. The depreciation is charged by 20% according to the diminishing balance method of depreciation.

    What will be the amount of accumulated depreciation at the end of the 3rd financial accounting year?

    A. Rs 10,000
    B. Rs 12,200
    C. Rs 12,800
    D. Rs 15,000

21. Which of the following is NOT considered for calculating depreciation through the straight line method?

    A. Cost of non-current asset
    B. Book value
    C. Scrap value
    D. Useful life of an asset

22. Muneer and Sons purchased a machine for Rs 15,000 on 01st July, 2014. Depreciation is charged on straight line method. The estimated useful life of the asset is 3 years with a salvage value of Rs 3,000. The company follows the policy of computing the depreciation on a monthly basis.

    The depreciation of the machine for the year ended on 31st December, 2014 will be

    A. Rs 2,000.
    B. Rs 4,000.
    C. Rs 5,000.
    D. Rs 12,000.

23. The following details are extracted from the books of Kareem and Company.

Particulars	Amount Rs
Account receivables	200,000
Allowance for bad debts	20,000

    The company decided to revise the rate of bad debts from 10% to 20%. What amount would be charged in the income statement of this year?

    A. Rs 10,000
    B. Rs 20.000
    C. Rs 40,000
    D. Nil (As no adjustment is required)

24. A machine costing Rs 5,000 with a useful life of 5 years was purchased on 1st January, 2012. The company charges depreciation by straight line method. On 31st December, 2014, the book value of the machine will be

    A. Rs 1,000.
    B. Rs 2,000.
    C. Rs 3,000.
    D. Rs 4,000.

25. The General Journal entry to record decrease in the provision for doubtful debts is

	Debit	Credit
A	Income statement	Provision for bad debts
B	Provision for bad debts	Income statement
C	Provision for bad debts	Account receivable
D	Account receivable	Provision for bad debts

END OF PAPER

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